

your financial affairs eventually. That may occur while you are still alive, and it will definitely occur after you're gone.

It is a common for mature retirees to do detailed estate planning. One of the decisions to make is who will manage their affairs when they are no longer able too. This chore is normally taken over by the healthy spouse while both husband and wife are still living. When there is only one person, the job is typically taken on by a son or daughter, a relative, or a professional representative.

I highly recommend that if you choose a son or daughter to handle your finances, you give them fair warning far in advance. Once a helper has been chosen, that person will need to become informed of your financial situation. This includes an understanding of your estate plan, your investment accounts, and your insurance documents, including knowing where all these things are located in your home.

Any financial planner will tell you that the transition of financial responsibility from parents to children can work out either very well or very poorly. There are steps you can take to avoid cost and confusion and to ensure that the transition occurs smoothly. The following list pertains to your investment accounts and contains steps you can take to ensure a smooth transition:

1. Write down where all your documents are and who your representatives are and give this to whoever is going to be responsible for your affairs.
2. Consolidate all your investment accounts with one or two custodians, such as Charles Schwab, Vanguard, or Fidelity. This will make management of the investments easier and will help your heirs settle the estate when you pass away.
3. Write a detailed statement, in your own words, describing how your portfolio is being managed and how you expect it to be managed in the future. The document should include a general investment strategy as well as points of contact.
4. Insist that the person you choose to manage your estate understand basic financial principles including asset allocation and why you are using low-cost mutual funds.